

M/S Birla Aircon v. District Magistrate, Meerut & Ors.

Allahabad High Court · Division Bench · 23 August 2012 · WRIT - C No. 33308 of 2012 · **Writ petition disposed of (liberty to object before the Collector against sealing of the non-defaulting firm's premises)**

HEADNOTE

Under Clause 2.2(ss) of the U.P. Electricity Supply Code, 2005 (materially identical to Clause 2.2(an) of the 2002 Code), 'premises' means the area/portion of the building/shed/field etc. for which the electric connection has been applied for or sanctioned to a single consumer. Recovery of a defaulting consumer's dues as arrears of land revenue, and sealing under that process, can extend only to the premises (as so defined) actually covered by the sanctioned connection; where a third firm at the same or an adjoining municipal address (sharing a common history/registration lineage with the defaulter but holding no electricity connection of its own) disputes that its distinct premises were swept into the sealing, and there is insufficient material to determine the precise scope of the sanctioned premises as of the date of sanction, the matter is remitted to the Collector for a fact-specific inquiry (including spot inspection) rather than decided on the writ record.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::2.2(ss)

Recovery/sealing for a defaulter's dues is confined to the 'premises' for which the connection was sanctioned; scope disputes go to the Collector on facts

QUESTION

Where recovery proceedings and sealing (for a defaulting consumer's electricity dues, recovered as arrears of land revenue) are executed at a shared/adjoining municipal address, can they extend to the distinct premises of another firm that never held an electricity connection, without first determining what 'premises' (per Clause 2.2(ss)) the sanctioned connection actually covered?

HOLDING

No, not without that determination. 'Premises' under Clause 2.2(ss) of the Code means the area/portion of the building/shed/field for which the connection was applied for or sanctioned to a single consumer; recovery as arrears of land revenue against the defaulter can proceed only against premises so defined. Since the record lacked sufficient material on the ownership/occupation of the two firms and the precise extent of the premises sanctioned to the defaulter (M/s Beeco Electricals India) as of the date of sanction (26.5.2004), the Court could not resolve the scope issue on the writ record and remitted the objection to the Collector (with liberty to conduct spot inspection) for a reasoned decision within three weeks, after hearing the licensee. ¶ [unnumbered order](#)

LIMITING FACTS

M/s Beeco Electricals India (assessed for theft, Rs. 26,54,671, per SCJ-051) defaulted on the recovery certificate, and its sealed premises at Municipal No. 149 (old)/280 (new), Delhi Road, Meerut were sealed by revenue officials under the U.P. Zamindari Abolition and Land Reforms Act, 1950; M/s Birla Aircon, a separate partnership with its own generators and no electricity connection, claimed its premises (registered at the same old municipal number) were wrongly swept into the sealing.

PRINCIPLE TAGS

premises-definition-scope-of-recovery The Supply Code's 'premises' definition (area/portion sanctioned to a single consumer) bounds the scope of recovery/sealing against a defaulting consumer; disputes about whether a third party's distinct premises were wrongly included are fact-specific and go to the recovery authority (Collector), not the writ court. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE SEALED PREMISES OF M/S BIRLA AIRCON FELL WITHIN THE PREMISES SANCTIONED TO M/S BEECO ELECTRICALS INDIA

Expressly left undetermined for want of material; remitted to the Collector for a fact-specific inquiry. ¶ [unnumbered order](#)

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Sigma Castings Ltd. & Another v. Purvanchal Vidyut Vitran Nigam Ltd. & Others (with Kundan Castings (P) Ltd.; PVVNL v. Vidyut Lokpal; M/s Shyam Ferrous Ltd.)

Allahabad High Court · Division Bench · 12 September 2013 · Civil Misc. Writ Petition No. 3467 of 2008 (connected with Nos. 3466, 16216, 44169 of 2008) · **Writ petitions disposed of variously — bank-guarantee conditions quashed; independent-feeder requirement upheld; Electricity Ombudsman's award quashed**

HEADNOTE

Clause 3.4(a) of the U.P. Electricity Supply Code, 2005's mandatory independent-feeder requirement for load of 1000 KVA and above to Arc/Induction furnaces, Rolling Mills, Re-rolling Mills and Mini steel plants applies to BOTH new connections AND applications for enhancement of load — whether or not the enhancement results in a change of system or voltage of supply under Clause 4.43(b)/(c) — since Clause 3.4 is a substantive provision using the word 'only', which cannot be rendered otiose by a narrower reading of Clause 4.43 (a purely procedural/time-frame provision); harmonious construction requires reading Clause 4.43 together with, not in isolation from, Clause 3.4. A licensee's mixed feeder (serving multiple unrelated consumers/processes) is not an 'independent feeder' within Clause 2.2(ff), so Clause 3.4(d)'s tapping-permission provision (for independent feeders where separate-feeder construction is infeasible) cannot be invoked to justify tapping a mixed feeder for Clause 3.4(a)-covered industries. An Electricity Ombudsman's award must be consistent with the Act and the Supply Code (Regulation 11, UPERC Consumer Grievance Redressal Forum & Ombudsman Regulations, 2007); an award directing supply via a mixed feeder in derogation of Clause 3.4(a) exceeds the Ombudsman's jurisdiction and is quashed, following *Punjab SEB v. Vishwa Calibere Builders* (Ombudsman cannot direct regularisation/relief absent statutory/regulatory basis). A prior instance of a licensee mistakenly or inadvertently supplying another Clause 3.4(a) consumer via a mixed feeder cannot found a claim of discriminatory treatment under Article 14, since Article 14 does not guarantee negative equality (following *Chandigarh Administration v. Jagjit Singh*; *State of Orissa v. Mamata Mohanty*).

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.4

Clause 3.4(a)'s mandatory independent-feeder requirement for the specified heavy industries applies to load-enhancement applications as well as new connections, regardless of whether the enhancement changes the system/voltage of supply under Clause 4.43(b)/(c)

QUESTION

Does Clause 3.4(a)'s mandatory independent-feeder requirement (for load of 1000 KVA and above to specified heavy industries) apply only to new connections/Clause 4.43(c) enhancements involving a system/voltage change, or does it also apply to Clause 4.43(b) enhancements not involving such a change?

HOLDING

Clause 3.4(a) applies to both. It is wide enough, and uses the word 'only', to cover both new connections and additional-load applications without qualification — Clause 4.43 (which only prescribes time-frames/procedure) cannot be read to narrow this substantive requirement; a harmonious construction requires reading Clause 4.43 alongside, not divorced from, Clause 3.4. Accordingly, after the Supply Code's 18.2.2005 commencement, any release of 1000 KVA-plus load to Clause 3.4(a) industries — whether by new connection or load enhancement, and whether or not it changes the system/voltage — must be through an independent feeder. ¶ paras 17-28

LIMITING FACTS

Sigma Castings and Kundan Castings sought enhancement of already-sanctioned high-tension loads (from 2700 to 5700 KVA, and 3410 to 6510 KVA respectively) via their existing mixed 33 KV feeders, arguing their applications (not involving a system/voltage change) fell under the lighter Clause 4.43(b) procedure and outside Clause 3.4's independent-feeder mandate.

HOLDING-UNIT · UP-2005::2.2(ff)

A licensee's mixed feeder is not an 'independent feeder' under Clause 2.2(ff), so Clause 3.4(d)'s tapping-permission provision cannot

justify an Electricity Ombudsman directing supply of a Clause 3.4(a)-covered load via a mixed feeder; such an award, being inconsistent with the Supply Code, exceeds the Ombudsman's Regulation 11 jurisdiction and is quashed

QUESTION

Can the Electricity Ombudsman direct a licensee to supply Clause 3.4(a)-covered load (1000 KVA+) via its existing mixed feeder (rather than a newly-constructed independent feeder), relying on Clause 3.4(d)'s tapping-permission provision and on instances of the licensee having previously done so for other consumers?

HOLDING

No. Clause 2.2(ff) defines 'independent feeder' as one supplying a single consumer or group of consumers with a similar process; a mixed feeder serving thousands of differently-processed industries (here, ~5110-11250 industries) does not qualify, so Clause 3.4(d) (which permits tapping of an existing independent feeder where separate-feeder construction is infeasible) has no application to a mixed feeder. The Electricity Ombudsman's award directing supply via the mixed feeder — vague as to duration and contrary to Clause 3.4(a) — exceeded its Regulation 11 jurisdiction (which confines awards to what is consistent with the Act and Supply Code, per *Punjab SEB v. Vishwa Calibere Builders*) and was quashed. Prior instances of the licensee mistakenly supplying other Clause 3.4(a) consumers via the mixed feeder (M/s Nitin Spat) do not found a valid discrimination claim, since Article 14 guarantees no negative equality (*Chandigarh Administration v. Jagjit Singh*; *State of Orissa v. Mamata Mohanty*) — a prior illegality cannot be perpetuated on that ground. ¶ paras 29-48

LIMITING FACTS

M/s Shyam Ferrous Ltd. sought a new 3000 KVA connection via the same 33 KV Fatehpur mixed feeder, obtaining a favourable Electricity Ombudsman award (18.1.2008) directing PVVNL to supply via that feeder, citing difficulty (railway line, agricultural land crossing) in constructing an independent feeder and pointing to two prior consumers (M/s Laxmi Cotsyn, M/s Nitin Spat) supplied via the same mixed feeder.

HOLDING-UNIT · UP-2005::4.49

A condition requiring a bank guarantee for alleged 'arrears' as a precondition to releasing enhanced load is quashed where the underlying assessment giving rise to the alleged arrears was already conclusively revised and paid, with the revision having attained finality; the licensee may, however, later demand a guarantee for genuinely subsequently-arising dues

HOLDING

The Rs. 3.74 crore bank-guarantee condition imposed on Sigma Castings (and, derivatively, on its purported sister-concern Kundan Castings) was quashed, since the underlying 1995 theft-based assessment had been conclusively revised down (from Rs. 3.39 crore to Rs. 9.68 lakh) and paid, with the revision upheld and attained finality in a 2006-dismissed writ petition by UPPCL — a fact PVVNL's counter affidavit did not deny. However, it was left open to PVVNL to require the consumer to clear (or furnish a guarantee for) any dues genuinely accrued since the December 2007 office memorandum (e.g. dishonoured cheques, peak-hour penalties, unpaid current bills), since raising this did not amount to impermissibly supporting the original order on undisclosed grounds. ¶ paras 49-53

LIMITING FACTS

PVVNL demanded a Rs. 3.74 crore bank guarantee from Sigma Castings (and an identical guarantee from Kundan Castings, alleged to be its sister concern) as a condition of releasing enhanced load, based on a stale, already-superseded 1995 theft assessment.

PRINCIPLE TAGS

clause-3.4a-covers-enhancement-not-just-new-connections Clause 3.4(a)'s mandatory independent-feeder requirement for the specified heavy industries applies to load-enhancement applications as well as new connections — a significant clarification refining SCJ-101 (*Pawan Kumar Agarwal*) and SCJ-094 (*Northern Coalfield*) on the scope of Clause 3.4. ¶ paras 24-28

mixed-feeder-not-independent-feeder-ombudsman-cannot-override-code A mixed feeder serving multiple unrelated consumers is not an 'independent feeder' under Clause 2.2(ff); an Electricity Ombudsman award directing supply via a mixed feeder in derogation of Clause 3.4(a) exceeds Regulation 11 jurisdiction and is quashed. Lead authorities: *Punjab State Electricity Board v. Vishwa Calibere Builders Pvt. Ltd.* ¶ paras 29-39

no-negative-equality-in-electricity-supply-decisions A licensee's prior mistaken/inadvertent supply of another similarly-situated consumer via a non-compliant route cannot be invoked to compel repetition of that illegality for a different consumer — Article 14 does not guarantee negative equality. Lead authorities: *Chandigarh Administration v. Jagjit Singh* [373000], *State of Orissa v. Mamata Mohanty*. ¶ paras 43-48

NOT DECIDED — QUANTUM OF ANY POST-DECEMBER-2007 ARREARS (DISHONoured CHEQUES, PEAK-HOUR PENALTIES, UNPAID CURRENT BILLS) AGAINST SIGMA CASTINGS

Left open for PVVNL to examine and, if warranted, issue fresh orders/demand a guarantee. ¶ para 51

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Punjab State Electricity Board v. Vishwa Calibere Builders Pvt. Ltd.</i> (2010) 4 SCC 539 Supreme Court	In the absence of a provision in the Act or Regulations, an Electricity Ombudsman commits jurisdictional error by directing regularisation of unauthorised use of electricity or refund of alleged excess charges.	Applied as the controlling authority on the limits of Ombudsman jurisdiction.	Respondent (PVVNL)	Followed
<i>Canara Bank v. P.R.N. Upadhyaya & Others</i> (1998) 6 SCC 526 Supreme Court	A Banking Ombudsman (analogous statutory scheme) is bound by governing circulars/directions and cannot issue directions in ignorance of them.	Applied by analogy to confirm the Electricity Ombudsman's award must conform to the governing Supply Code.	Court	Followed
<i>Pawan Kumar Agrawal v. State of U.P. & Others</i> Writ Petition No. 31019 of 2007, judgment dated 12.10.2007 Allahabad High Court	M/s Laxmi Cotsyn Ltd. (a textile-dyeing industry) is not covered by Clause 3.4(a) and cannot be compelled to construct an independent feeder at its own cost; it is entitled to a new connection from the existing mixed feeder.	Distinguished as involving a non-Clause-3.4(a) industry, unlike the petitioners here who conceded coverage by Clause 3.4(a).	Petitioners (for discrimination plea)	Distinguished
<i>Chandigarh Administration v. Jagjit Singh</i> 1995 (1) SCC 745; AIR 1995 SC 705 [373000] Supreme Court	The mere fact an authority passed a particular (possibly illegal) order for another similarly-situated person cannot found a discrimination-based claim to have that illegality repeated; Article 14 does not envisage negative equality.	Applied to reject the discrimination plea based on the Nitin Spat precedent.	Court	Followed
<i>State of West Bengal v. Dabasish Mukherjee</i> (2011) 14 SCC 187 [1043630] Supreme Court	Equality before law is a positive concept, not enforceable negatively; an inadvertent illegal benefit to one person does not confer a legal right on others to the same benefit.	Applied for the negative-equality principle.	Court	Followed
<i>State of Orissa v. Mamata Mohanty</i> (2011) 3 SCC 436 Supreme Court	Article 14 is not meant to perpetuate illegality and does not envisage negative equality; an inadvertent benefit granted to others does not confer a right to the same relief.	Applied alongside Chandigarh Administration and Dabasish Mukherjee for the negative-equality principle.	Court	Followed

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

Seema Mansoor v. U.P. Power Corporation Ltd. & 3 Others

Allahabad High Court · Division Bench · 26 May 2014 · WRIT - C No. 28295 of 2014 · **Writ petition allowed; mandamus issued directing consideration and grant of connection**

HEADNOTE

A tenant/occupier's application for a new electricity connection cannot be refused solely for want of the landlord/owner's consent. Section 43 of the Electricity Act, 2003 casts a statutory duty on the distribution licensee to supply electricity to any owner or occupier applying for it, and Clause 2.2(oo) of the U.P. Electricity Supply Code, 2005 defines 'occupier' to include an authorised person in occupation (which includes a tenant). While Clause 4.4(a)(i) lists owner's consent (Annexure 4.3) among the documents ordinarily required, the Code itself provides an alternative route: Annexure 4.2, an indemnity bond that a tenant/lessee/occupier who cannot obtain the owner's consent may execute instead, indemnifying the licensee against any loss/claim arising from the owner's objection, recoverable from the occupier under the Revenue Recovery Act. Reading Clause 4.4 as providing either owner's consent OR an occupier's indemnity bond, a licensee cannot lawfully refuse connection to a tenant merely because a landlord (especially one embroiled in a rent dispute, using disconnection as leverage to evict) withholds consent — such an interpretation would nullify Rent Control Act protections and is against public policy. Two prior Division Bench decisions (Ravi Shankar Giri; Iftikhar Ahsan/Tanveer Azam) holding otherwise, having failed to notice ss.42/43 of the Act and Clause 4.4(a)(i)/Annexure 4.2 of the Code, do not lay down the correct law.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.4

A tenant/occupier cannot be refused a new electricity connection solely for want of the landlord's consent, since the Supply Code provides an alternative indemnity-bond route (Annexure 4.2) precisely for such situations; refusing connection on landlord-consent grounds alone nullifies Rent Control Act protections and is against public policy

QUESTION

Can a distribution licensee refuse a new electricity connection to a tenant/occupier solely because the landlord/owner of the premises has refused to give a no-objection/consent?

HOLDING

No. Section 43 of the Electricity Act, 2003 obliges the licensee to supply electricity to any owner OR occupier (a term the Supply Code, Clause 2.2(oo), defines to include an authorised person in occupation, i.e. a tenant) making a proper application. While Clause 4.4(a)(i) of the Code lists owner's consent (Annexure 4.3) among required documents, the Code simultaneously provides Annexure 4.2 — an indemnity bond specifically designed for the situation where 'the intending consumer is not the owner' and 'is not able to obtain the consent' of the owner — as an alternative route, indemnifying the licensee against loss/claims from the owner, recoverable under the Revenue Recovery Act if needed. Reading the Code holistically, a tenant cannot be denied connection merely for lack of landlord consent; to hold otherwise would let an unscrupulous landlord (here, one in an ongoing rent dispute who had already gotten the existing connection disconnected to pressure the tenant to vacate) defeat Rent Control Act protections by simply withholding consent — an interpretation contrary to both the statutory scheme and public policy. Two prior Division Bench rulings to the contrary (Ravi Shankar Giri; the Iftikhar Ahsan/Tanveer Azam line) were held not to lay down correct law, having overlooked ss.42/43 of the Act and Clause 4.4(a)(i)/Annexure 4.2 of the Code. Mandamus issued directing the licensee to consider and grant connection to the petitioner-tenant, subject to a proper application, indemnity bond, and fulfilment of other requirements. ¶ [unnumbered order \(full text\)](#)

LIMITING FACTS

The petitioner, a tenant embroiled in a rent dispute (depositing rent under s.30, U.P. Act No. 13 of 1972 due to the landlord's refusal to accept it), had her electricity supply disconnected by the landlord seeking to pressure her to vacate; her subsequent new-connection application was returned for want of the landlord's no-objection.

PRINCIPLE TAGS

clause-4.4-occupant-connection-on-indemnity-bond A tenant/occupier may obtain a new electricity connection via the Annexure 4.2 indemnity-bond route where the landlord withholds consent; this reinforces and extends the Clause 4.4 occupant-

connection principle already tracked in this corpus (SCJ-085, Mohd. Ashfaq Khan) to the new-connection (not just restoration) context, and explicitly holds that landlord-consent refusal cannot be an absolute bar. ¶ [unnumbered order](#)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ravi Shanker Giri v. Sub-Divisional Officer, U.P. Power Corporation Ltd. & Others</i> 2007 (4) AWC 3934 [193909] Allahabad High Court (DB)	Unless there is consent of the owner of the premises (as required under the Supply Code), electricity connection cannot be granted.	Overruled/held not to lay down correct law — decided without noticing ss.42/43 of the Electricity Act, the Code's definition of 'occupier', and Clause 4.4(a)(i)/Annexure 4.2's indemnity-bond alternative.	Respondent	Overruled
<i>Tanveer Azam v. State of U.P. & Others (also cited as Iftikhar Ahsan v. State of U.P.)</i> Writ Petition No. 71425 of 2013, order dated 3.1.2014 Allahabad High Court (DB)	Same as Ravi Shankar Giri — owner's consent required under the Code for grant of electricity connection.	Overruled/held not to lay down correct law, for the same reasons as Ravi Shankar Giri.	Respondent	Overruled

Executive Engineer, Electricity Urban Distribution Division v. The Electricity Ombudsman & 2 Others

Allahabad High Court · Single Judge · 11 September 2014 · WRIT - C No. 1361 of 2014 · **Writ petition dismissed with Rs. 25,000 costs (Ombudsman's order upheld)**

HEADNOTE

A statutory Consumer Grievance Redressal Forum (ECGRF) and the Electricity Ombudsman, constituted under Section 42(5)-(8) of the Electricity Act, 2003 and the UPERC (CGRF and Electricity Ombudsman) Regulations, 2007, are under a statutory duty to decide a consumer's grievance on merits and cannot decline jurisdiction by relegating the parties to an arbitration clause in the supply agreement; the agreement provides at most an additional forum (right of election, Section 42(8)), and the special statute overrides the general Arbitration Act (*Gujarat Urja Vikas Nigam v. Essar Power*). Separately, a 'Protective Load' charge under the Tariff Orders (and Clause 2.2(tt) of the Supply Code) can be levied only where the consumer has opted for, and been sanctioned, that facility; a suo motu demand raised years later on an audit objection, without any such option, is illegal.

HOLDING-UNITS

INTERPLAY · EA2003::42

CGRF/Ombudsman cannot relegate a consumer's dispute to arbitration

QUESTION

Can the statutory ECGRF/Ombudsman decline to decide a consumer's dispute and relegate the parties to arbitration under the supply agreement?

HOLDING

No. Under Section 42(5)-(8) and the Regulations, 2007, the ECGRF and Ombudsman are under a statutory duty to decide a consumer's grievance on merits; an arbitration clause in the agreement is at most an additional forum (Section 42(8) — without prejudice to other rights; right of election) and does not oust the statutory forum. The special statute overrides the general Arbitration Act. Regulation 5.1 bars the Forum only from matters under ss.126, 127, 128, 135-139, 143, 152 and 161; other disputes (Reg. 5.2) it must decide. The ECGRF erred in diverting the dispute to arbitration.

¶ 31-43

FLAG Maintainability: a writ by the Executive Engineer alone (an officer, not a juristic person) without the Distribution Licensee (PVVNL) was held not maintainable, but the Court decided on merits anyway (paras 62-63).

HOLDING-UNIT · UP-2005::2.2(tt)

Protective-load charge requires the consumer's option and sanction

QUESTION

Can a 'Protective Load' charge be levied where the consumer never opted for, and was never sanctioned, the protective-load facility?

HOLDING

No. A 'Protective Load' (Clause 2.2(tt): a load not subject to normal rostering) charge under the Tariff Orders is attracted only where the consumer has opted for the facility and it has been sanctioned by the licensee. The Aviation College never exercised such option; the demand — raised suo motu for eight years' arrears on an audit objection — was illegal (following *Allahabad Inter Prises v. State of U.P.*). ¶ 45-61

LIMITING FACTS

The licensee raised a 'Protective Load' demand of Rs. 9,47,340 from 1.12.2004 collectively, only after an audit objection; the consumer had never opted for protective load and the agreement contained no such stipulation.

statutory-forum-cannot-relegate-to-arbitration

A statutory consumer grievance forum (CGRF/Ombudsman) must decide the consumer's dispute on merits and cannot abdicate by relegating the parties to an arbitration clause; the statutory remedy is additional, by right of election, not ousted by the agreement. Lead authorities: *Gujarat Urja Vikas Nigam Ltd. v. Essar Power Ltd.* [1223233]. ¶ 31-40

charge-requires-consumer-option

A tariff charge conditioned on the consumer opting for a facility (here, protective load) cannot be levied absent that option and the licensee's sanction; it cannot be imposed suo motu on an audit objection. ¶ 53-61

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Gujarat Urja Vikas Nigam Ltd. v. Essar Power Ltd.</i> (2008) 4 SCC 755 [1223233] Supreme Court	Section 86(1)(f) of the Electricity Act, 2003 is a special provision for adjudication of disputes between a licensee and a generating company and overrides the general Section 11 of the Arbitration and Conciliation Act, 1996; after the 2003 Act, such disputes can be resolved only by the State Commission or an arbitrator appointed by it.	Relied on for the proposition that the special statutory dispute-resolution scheme overrides a contractual arbitration clause. ¶ 34-36	Court	Relied on
<i>Allahabad Inter Prises v. State of U.P.</i> Writ-C No. 2788 of 2013 (Allahabad HC, DB) Allahabad High Court (DB)	A 'Protective Load' charge cannot be raised in the absence of any option exercised by the consumer for that facility.	Followed to hold the protective-load demand unsustainable. ¶ 60	Court	Followed

SCJ-026 · Executive Engineer, Electricity Urban Distribution Division v. The Electricity Ombudsman & 2 Others · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.

M/S. Kamla Cold Storage And Ice Factory v. M.V.V.N.L. & Anr.

Allahabad High Court · Division Bench · 18 February 2020 · WRIT - C No. 70447 of 2009 · **Writ petition dismissed**

HEADNOTE

Section 62(6) of the Electricity Act, 2003 entitles a consumer to interest at the bank rate only where the licensee has recovered a price or charge EXCEEDING the tariff determined under Section 62 — i.e. genuine overcharging above the prescribed tariff. A rebate under the tariff order (as defined in Clause 2.2(yy)/(zz) of the U.P. Electricity Supply Code, 2005, read with the 'energy charge'/'fixed charge'/'demand charge' definitions in Clause 2.2) is a concession applied to the bill generated from the tariff-calculated charges, not itself part of the chargeable tariff; delay in crediting a rebate (as opposed to charging a higher-than-prescribed tariff) does not attract Section 62(6) interest, since it is not a case of the licensee having recovered an amount exceeding the tariff.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::2.2

Delayed crediting of a tariff-order rebate does not attract Section 62(6) interest, since a rebate is a bill-level concession, not itself part of the chargeable tariff

QUESTION

Does Section 62(6) of the Act (entitling a consumer to bank-rate interest where the licensee recovers a charge exceeding the determined tariff) apply where a consumer was correctly billed as per the tariff order, but a tariff-order rebate (for supply from a rural rather than urban feeder) was credited to the consumer's account only belatedly?

HOLDING

No. Under Clause 2.2 of the Code, 'tariff order' and 'tariff schedule' fix the rates (fixed charge, energy charge, demand charge) a licensee may charge; a rebate is a distinct concession applied to reduce the bill generated from those tariff-calculated charges, not itself an element of the chargeable tariff. Since the fixed and energy charges billed to the consumer were correctly calculated as per the tariff order, and the rebate (also provided for in the tariff order) was in fact eventually credited, this is not a case of the licensee recovering a price or charge 'exceeding the tariff determined' within Section 62(6); a rebate cannot be equated to excessive tariff so as to bring delayed crediting within the ambit of Section 62(6). No interest was payable on the delayed rebate. ¶ **unnumbered order**

LIMITING FACTS

The consumer's cold storage was supplied from a rural feeder (at its own request, having previously been on an urban feeder) and was billed fixed/energy charges as per the tariff order; a rebate applicable to rural-feeder supply was credited only after some delay, and the consumer sought bank-rate interest under s.62(6) on the rebate amount, alleging the delay itself amounted to an admission of overcharging.

PRINCIPLE TAGS

s62-6-interest-only-for-overcharging-not-delayed-rebate Section 62(6) interest is confined to genuine overcharging above the determined tariff; a rebate under the tariff order is a bill-level concession, and its delayed crediting does not attract s.62(6) interest. ¶ **unnumbered order**

KPB Metals Private Limited v. State of U.P. and Others

Allahabad High Court · Division Bench · 2 November 2022 · 2022 SCC OnLine All 940 · Writ - C No. 13176 of 2022 · **Writ petition dismissed**

HEADNOTE

Extending an existing sanctioned-load connection to newly-acquired adjoining plots is a 'change in site of the sanctioned load', barred by Clause 4.8(d)(i) of the U.P. Electricity Supply Code, 2005, and is not an internal 'change in wiring/apparatus/service line' within the same premises under Clause 4.45(c). Read with the definition of 'premises' in Clause 2.2(ss) - the area for which the connection has been applied for or sanctioned for a single consumer - the premises here was the single khasra (267M) for which the connection was sanctioned; the plots (265, 266) acquired later, after the sanction, did not become part of those premises merely by being contiguous. The Executive Engineer was justified in invoking Clause 4.8(d) to reject the request; the consumer's remedy is to apply for a fresh connection for the new premises or to seek disconnection and a fresh connection for the entire premises. Petition dismissed.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.8

Extending a sanctioned connection to newly-acquired adjoining plots is a barred change of site, not an internal change within the premises

QUESTION

Can a consumer use an existing sanctioned-load connection for adjoining plots acquired after the sanction, as an internal change under Clause 4.45(c), or is that a change of site barred by Clause 4.8(d)(i)?

HOLDING

It is a change in the site of the sanctioned load, which Clause 4.8(d)(i) does not permit. Clause 4.45(c) applies only to changes in wiring/apparatus/service line within the premises for which the connection was accorded; 'premises' under Clause 2.2(ss) is the area (here khasra 267M) for which the connection was applied for/sanctioned for a single consumer. Plots 265 and 266, acquired after the sanction, did not become part of those premises merely by being contiguous, so Clause 4.45(c) was inapplicable and the Executive Engineer rightly invoked Clause 4.8(d) to reject the request. The consumer may apply afresh for the new premises, or seek disconnection and a fresh connection for the entire premises.

¶ 3-15

LIMITING FACTS

3000 KVA load sanctioned for khasra 267M; adjoining plots 265/266 acquired 25.1.2022, after the sanction; application to use the existing connection for the additional plots rejected under Clause 4.8(d).

PRINCIPLE TAGS

premises-is-area-for-which-connection-sanctioned-clause-2.2(ss) 'Premises' is the specific area/khasra for which a single consumer's connection was applied for or sanctioned; later-acquired contiguous plots are not part of it merely by adjacency.

¶ 9-13

change-of-site-of-sanctioned-load-not-permitted-4.8(d) Extending a sanctioned connection to a different/enlarged site is a change of site barred by Clause 4.8(d)(i), not an internal change under Clause 4.45(c); a fresh connection must be sought.

¶ 7-14

Dr. Ashok Kumar Sharma & Another v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 23 February 2024 · 2024:AHC:31947-DB · WRIT - C No. 5548 of 2024 · **Writ petition disposed of (connection refused at this stage; liberty if the eviction decree is set aside/stayed)**

HEADNOTE

A tenant is an 'occupier' under Clause 2(oo) of the U.P. Electricity Supply Code, 2005, with a statutory right to apply for a connection (on an indemnity bond, Clause 4.4) and cannot be denied supply merely for want of the landlord's NOC (Dilip v. Satish; Anand Kumar). But 'occupier' means a person authorised to occupy the premises; a tenant against whom an unstayed decree of eviction operates cannot be recognised as authorised to occupy, and a connection may be refused at that stage — with liberty to apply if the decree is later set aside, recalled or stayed.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::2(oo)

'Occupier' requires authorised occupation — tenant under an unstayed eviction decree

QUESTION

Is a tenant against whom an unstayed decree of eviction operates an 'occupier' entitled to a fresh connection under the Code?

HOLDING

A tenant is ordinarily an 'occupier' (Clause 2(oo)) entitled to apply for a connection on an indemnity bond and cannot be denied supply merely for want of the landlord's NOC. But 'occupier' means a person authorised to occupy; a tenant faced with an unstayed eviction decree is not so authorised, and the court declined, in its discretion under Article 226, to direct a connection at that stage — with liberty to apply if the decree is set aside, recalled or stayed. ¶ 10-17

LIMITING FACTS

An ex parte eviction decree (19.4.2018) against the tenants was pending execution with no stay; outstanding dues exceeding Rs. 3,00,000 stood on the old connection.

QUALIFIER

Liberty reserved to apply for a connection if the eviction decree is set aside, recalled or stayed.

PRINCIPLE TAGS

occupier-must-be-authorised The right of a tenant/occupier to a connection under the Code presupposes authorised occupation; it does not extend to a person against whom an unstayed eviction decree operates. (Qualifies the tenant-occupier entitlement recognised in Anand Kumar / SCJ-006.) Lead authorities: *Anand Kumar v. State of U.P.* [163340936]. ¶ 10-16

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — ULTIMATE FATE OF THE EVICTION LITIGATION

The Court declined to speculate on the outcome of the pending execution/recall proceedings, deciding only that at this stage the tenants are not authorised occupiers. ¶ 15

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Dilip (Dead) through LRs. v. Satish & Others</i> 2022 LiveLaw (SC) 570 Supreme Court	Electricity is a basic amenity of which a person cannot be deprived; it cannot be declined to a tenant for the landlord's failure/refusal to issue an NOC — all the supply authority examines is whether the applicant is in occupation.	Distinguished — it does not lay down that a connection must be granted to a tenant irrespective of all other facts (here, an unstayed eviction decree). ¶ 7, 10	Petitioner	Distinguished

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Anand Kumar v. State of U.P.</i> 2023 (3) ADJ 668 (DB) [163340936] Allahabad High Court (DB)	A tenant, being an 'occupier' under Clause 2(oo), has a statutory right to apply for and obtain a connection on fulfilling the Code's conditions (mainly an indemnity bond). [SCJ-006 in this corpus.]	Distinguished — ratio held not squarely applicable, since it presupposes authorised occupation, absent here given the unstayed eviction decree. ¶ 11-14	Petitioner	Distinguished

SCJ-021 · Dr. Ashok Kumar Sharma & Another v. State of U.P. & 4 Others · 2024:AHC:31947-DB · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.